

What the Heck Is Sub-Agency?

Sub-agency is when a licensee from a competing firm works under the listing agent to help the agent sell the listed property. Sub-agents work with the buyer in a customer (not a client) relationship, but they owe their allegiance to the seller who's represented by the listing agent. Sub-agency is rarely seen anymore due to the rising popularity of buyer agency. In fact, it's quite possible that you work for a firm that has a policy forbidding sub-agency to cooperating licensees to protect the client from additional vicarious liability (with sub-agency, the seller is liable for the actions of both the listing agent and the sub-agent).

If you're the buyer's agent, you can't be a sub-agent in the same transaction in which you represent the buyer, and you must make your status as the buyer's agent clear to the seller's agent before showing the seller's property.

Instead of a unilateral offering of sub-agency, listing brokers and sellers usually offer compensation share to cooperating buyer's agents. In this way, the seller is still represented via the listing firm, and the property benefits from broad market exposure via buyer's agents.